UNIT 11 CONCEPT OF -ENTREPRENEURSHIP

Differentiation: Businessperson vs. Entrepreneur

A **businessperson** is someone who operates an existing business, often with the primary goal of making a profit. They typically follow established business models, like running a franchise or a traditional retail store, and focus on maintaining and optimizing current operations.

Stems:--From the French word 'entrependre' meaning one who undertakes or one who is a 'go-between'

An **entrepreneur** is an innovator and risk-taker who creates a new business or a new product/service. Their goal is not just profit, but also to solve a problem, disrupt an industry, or create something unique. They often operate with a high degree of uncertainty, building a business model from scratch.

An entrepreneur is an individual who conceives an idea for a new product or service, then finds some way of raising capital to form a business to produce the product or service."

According to **Marshall,** "Entrepreneur is an individual who adventures or underrates risks, who brings together the capital and labor required for the work, who arranges its general plan and who superintends its minor details
"Entrepreneur is one who trans-form ideas into a profitable business."

Richard Cantillon:--An entrepreneur is a person who pays a certain price for a product to resell it at an uncertain price, thereby making decisions about obtaining and using the resources while consequently admitting the risk of enterprise.

Entrepreneurship is the process of creating or extracting economic value by starting and running a new business, which involves taking on significant risks in anticipation of profits and growth. Entrepreneurs use their skills and initiative to identify market needs, bring new ideas to life, and generate economic wealth and innovation. This process stimulates economic growth by introducing new products and services, diversifying economies, and creating job opportunities.
Entrepreneurship is the process of designing, launching, and running a new business. It involves taking on significant financial risks in the hope of making a profit, often with a focus on innovation and creating new value

Qualities of an Entrepreneur

Entrepreneurs have a unique set of qualities that help them navigate the challenges of building something new. Key traits include:

- **Risk-Taking:** They are comfortable with uncertainty and are willing to invest time and money into an unproven idea.
- **Passion and Vision:** Entrepreneurs are deeply passionate about their ideas and have a clear, long-term vision of what they want to achieve.
- **Creativity and Innovation:** They think outside the box to find unique solutions to problems and create products that stand out.
- **Perseverance and Resilience:** They don't give up easily and can handle setbacks and failures, using them as learning opportunities.
- **Self-Discipline and Drive:** They are highly motivated self-starters who can manage their time and tasks without needing a boss.

- **Leadership Skills:** They must be able to inspire, motivate, and manage a team to bring their vision to life.
- **Adaptability:** They are flexible and can pivot their business strategy in response to market changes or new information.
- **Disciplined:--**These individuals are focused on making their businesses work, and eliminate any hindrances or distractions to their goals. They have overarching strategies and outline the tactics to accomplish them. Successful entrepreneurs are disciplined enough to take steps every day toward the achievement of their objectives.
- **Passion and Drive:** They have a deep, unwavering commitment to their business idea and are highly self-motivated.
- **Risk-Taking:** They are comfortable with uncertainty and are willing to take calculated risks.
- **Creativity and Innovation:** They think outside the box to solve problems and create unique products or services.
- **Resilience and Adaptability:** They can handle setbacks and failures, learning from their mistakes and adjusting their plans as needed.
- **Self-Discipline:** They have the discipline to work long hours and make sacrifices to achieve their goals.
- **Vision:** They have a clear, long-term picture of what their business can become and how they will get there.
- **Confidence**:--The entrepreneur does not ask questions about whether they can succeed or whether they are worthy of success. They are confident with the knowledge that they will make their businesses succeed. They exude that confidence in everything they do.

- **Open Minded:--**Entrepreneurs realize that every event and situation is a business opportunity. Ideas are constantly being generated about workflows and efficiency, people skills and potential new businesses. They have the ability to look at everything around them and focus it toward their goals.

- **Self-Starter:--**Entrepreneurs know that if something needs to be done, they should start it themselves. They set the parameters and make sure that projects follow that path. They are proactive, not waiting for someone to give them permission.

- **Competitive:--**Many companies are formed because an entrepreneur knows that they can do a job better than another. They need to win at the sports they play and need to win at the businesses that they create. An entrepreneur will highlight their own company's track record of success.

- **Creativity:--**One facet of creativity is being able to make connections between seemingly unrelated events or situations. Entrepreneurs often come up with solutions which are the synthesis of other items. They will repurpose products to market them to new industries.

- **Determination:--**Entrepreneurs are not thwarted by their defeats. They look at defeat as an opportunity for success. They are determined to make all of their endeavors succeed, so will try and try again until it does. Successful entrepreneurs do not believe that something cannot be done.

- **Strong people skills:--**The entrepreneur has strong communication skills to sell the product and motivate employees. Most successful entrepreneurs know how to motivate their employees so the business grows overall. They are very good at highlighting the benefits of any situation and coaching others to their success.

- **Strong work ethic:--**The successful entrepreneur will often be the first person to arrive at the office and the last one to leave. They will come in on their days off to make sure that an outcome meets their expectations. Their mind is constantly on their work, whether they are in or out of the workplace.

- **Passion:--**Passion is the most important trait of the successful entrepreneur. They genuinely love their work. They are willing to put in those extra hours to make the business succeed because there is a joy their business gives which goes beyond the money. The successful entrepreneur will always be reading and researching ways to make the business better.

- He is a person who develops and owns his own enterprise.

- He is a moderate risk taker and works under uncertainty for achieving the goal.

- He is innovative.

- He peruses the deviant pursuits.

- Reflects strong urge to be independent.

- Persistently tries to do something better.

- Dissatisfied with routine activities.

- Prepared to withstand the hard life.

- Determined but patient.

- Exhibits sense of leadership.
- Also exhibits sense of competitiveness.
- Takes personals responsibility.
- Oriented towards the future.
- Tends to persist in the face to adversity.
- Convert a situation into opportunity.

FUNCTIONS OF AN ENTREPRENEUR

Some of the most important function performed by an entrepreneur are as follows:

An entrepreneur possesses special ability in the modern mechanized and complex production system. He occupies a very important place in production.

1. To Prepare Plan:--The first and foremost function of an entrepreneur is to prepare the plan or scheme of production i. e., the scale of production, types of goods to be produced and its quantity.

2. Selection of the Site:--The entrepreneur makes the selection of the site for the factory to be installed. The place should be near the market, railway station or bus-stand. The selection of the place may be near the source of raw materials also. The selection of the place has an important bearing on the cost of production.

3. Provision of Capital:--Capital is required to install a factory or an industry. Capital is required at all the stages of business. It is not necessary that the entrepreneur should invest his own capital. Therefore, he has to trace out a capitalist, to make provision for capital for the investment. He tries to obtain capital at the lowest possible rate of interest.

4. Provision of Land:--After making provision of capital and selection of site, he has to arrange for land. Land is either purchased or hired.

5. Provision of Labour:--In modern times, different types of labour are required to produce one type of commodity. The entrepreneur has to make provision for labour from different places.

6. Purchase of Machines and Tools:--It is the function of the entrepreneur to purchase machines and tools in order to start and continue the production.

7. Provision of Raw Materials:--It is the entrepreneur who makes provision for raw materials. He purchases the best quality of raw materials at the minimum cost. He also knows the sources of raw materials.

8. Co-ordination of the Factors of production:--One of the main functions of the entrepreneur is to coordinate different factors of production in proper combinations, so that the cost of production is reduced to the minimum.

9. Division of Labour:--The splitting up of production into different parts and entrusting them to different workers is also the function of an entrepreneur. Thus, the entrepreneur decides the level and type of division of labour.

10. Quality of Product:--Keeping in view the competition in the market, the entrepreneur has to determine the quality of his product. He is to decide whether the goods produced should be of superior quality only or both of superior and ordinary qualities.
11. Sale of Goods:--The responsibility of the entrepreneur is not only to produce goods but also to sell his produce. He employs a good number of salesmen to market the goods. He makes arrangement for publicity to push up the sales. He adopts both informative and persuasive methods to achieve his goal.
12. Advertisement:--It is the duty of an entrepreneur to do advertisement explaining the superiority and quality of his goods through newspapers, magazines, radio, TV, etc. Advertisement is done to create and increase the demand or sale of his goods.
13. Search for Markets:--The entrepreneur has to explore markets for his products. He produces goods in accordance with the consumers' tastes which can be known from market trends.
14. Supervision:--One of the main jobs of an entrepreneur is to supervise all the factors engaged in the production process. He has to supervise every little detail so as to ensure maximum production and economy.
15. Contact with the Government:--The entrepreneur has to make contacts with the government because the modern production system is controlled by the government in several ways. A license is taken before the start of production. The entrepreneur has to abide by certain rules and regulations of production and has to pay taxes regularly.
16. Payment to Factors of Production:--The rewards of the various factors of production have to be decided by the entrepreneur. He makes payments to the landlord, labour and capitalist in the form of rent, wages and interest. Since payments to these factors of production constitute cost, so no entrepreneur wants to pay to a factor more than its productivity.
17. Quantity of Production:--The entrepreneur determines the quantity of production keeping in view the demand for goods and the extent of market. How much goods are to be produced is the main decision taken by the entrepreneur.
18. Risk-Taking:--Risk-taking is the most important function of an entrepreneur. He has to pay to all the other factors of production in advance. There are chances that he may be rewarded with a handsome profit or he may suffer a heavy loss. Therefore, the risk-bearing is the final responsibility of an entrepreneur.
19. Innovation:--Innovation plays an important role in modern business. The entrepreneur makes arrangements for introducing innovations which help in increasing production on the one hand, and reducing costs, on the other. Innovations may take the form of the introduction of new methods in the process of production or introducing improvements in the existing methods. It also includes discovery of new markets, raw materials and new techniques of production.

Barriers to Entrepreneurship Development

Entrepreneurship isn't easy; several significant barriers can hinder its development.

- **Financial Barriers:** This is often the biggest hurdle. Entrepreneurs struggle to secure funding, loans, or investments, especially without a proven track record. High-interest rates and a lack of collateral can also be major obstacles.
- **Lack of Skills and Knowledge:** Many aspiring entrepreneurs lack a formal business education or experience in areas like finance, marketing, or management. This can lead to poor decision-making and business failure.

- **Regulatory and Bureaucratic Barriers:** Complex and time-consuming legal procedures, excessive permits, and high tax burdens can discourage new business formation.
- **Market-Related Barriers:** Intense competition, saturated markets, and a lack of access to raw materials or a reliable supply chain can make it difficult for new ventures to survive.
- **Personal and Psychological Barriers:** Fear of failure, lack of self-confidence, and a societal or family stigma associated with business failure can prevent people from taking the leap into entrepreneurship.

Environmental barriers:

Raw material: Non-availability of raw materials required for production during the peak season. This leads to an increase in the price of raw materials due to competition.

Labor:

1. Shortage of skilled labor
2. Lack of committed and loyal employees.
3. Quality and quantity of labor.

Machinery: Machines are necessary but they are also expensive and due to top change in technology they become obsolete and require replacement which requires cash in hand. It becomes very difficult for the small business organization to keep its production process updated.

Land and buildings: The acquisition of land and construction of a building at a prominent place requires huge expenditure. If the land is rented, it becomes a fixed cost and a constant concern for the entrepreneur.

Infrastructure support: Adequacy of electricity, proper road, water and drainage facilities, etc. Development authorities have little support due to red-tapism and corruption.

Financial constraints:

The availability of funds is a major concern. Delay in starting or running business results in a delay in the source of finance.

Personal barrier:

These are due to the emotional block of a person. They cause a mental blockage. They are: –

Lack of confidence: They feel that they will never get a successful business idea and will be unable to attract the necessary resources. Therefore, they reject the idea of being self-employed.

Lack of dependence on others: The entrepreneur's aim is to gain their additional expertise through trial and error and experience rather than seeking further development or personal help from others.

Motivation: Loss interest and lack of motivation when thoughts do not work.

Lack of patience: When entrepreneurs faced with business challenges/problems in the first attempt, the desire to achieve success or to become rich immediately, in which they lose interest. They give up during the initial loss

Inability to dream: Sometimes entrepreneurs are short of vision or satisfied with what they have achieved till now and lose interest in further expansion of their business enterprise.

Society barrier:

1. Socio-cultural norms and values.
2. The degree of approval or disapproval of entrepreneurial behavior.
3. Financial stability and family background
4. Caste and religious affiliation

Political barrier:

1. Government incentives and concessions.
2. Facilitating socio-economic settings
3. Interest in the economic development of society.

Barriers of entrepreneurship with Solution.

Financial Barriers: Difficulty accessing loans, venture capital, and other forms of funding. High-interest rates and lack of collateral are significant obstacles.

Lack of Skills and Knowledge: Many aspiring entrepreneurs lack the formal training in business management, finance, or marketing needed to succeed.

Regulatory and Bureaucratic Hurdles: Complex and time-consuming legal procedures, excessive permits, and high tax burdens can stifle new ventures.

Market Competition: Entering a crowded or saturated market can be challenging for a new business to survive.

Psychological Barriers: Fear of failure, a lack of self-confidence, and a societal stigma against business failure can prevent people from taking the risk.

Inadequate Market Experience:--The most common mistake made by a great number of entrepreneurs is beginning their business without having adequate knowledge about the respective field. It is essential to get a suitable amount of experience related to the industry by working in the required sector. Choose by understanding the nature of the market instead of rushing into this business by seeing someone successful.

Human Resource Problems:--There is no way that a person can perform everything on their own. The same goes for entrepreneurship, where a business can't be run alone. It is essential to have human resource support for achieving success in this business. People who have the required set of experience and knowledge will agree that a team needs top-level productivity and efficiency to achieve well in this business.

Managing Finances:--A great block while beginning the startup is to manage the finances that make things difficult. There are lots of ideas that come to mind while starting a business. No matter what kind of idea you have, there is a need for stable finances and funding for making sure the process stays smoother.

Non-Strategic Planning:--A very common barrier that entrepreneurs face is inadequate planning regarding strategies. Thousands of people built a business just as a hobby without creating a long-term vision. Bad planning results in failure that should be avoided at any cost. It is the main reason most businesses shut down within the first year of their operation. There is a need for a solid passion for being an entrepreneur to create a strategic vision for reaching the goals.

Lack of Capacity:--It needs to understand most entrepreneurs who can't use the opportunities that are presented to them. The reason behind this is a lack of education, knowledge, willingness, and other essential things. In simple words, we will say the factor of zeal and motivation misses most entrepreneurs.

Political Barriers:--The political barrier also plays a great role in the success of an entrepreneur. There is a need to check out the policies of the government and what kind of incentives they are offering. After all, the government of every country doesn't provide social-economic facilities to entrepreneurs. Additionally, the interest in economic development also needs to be taken seriously.

Not Having Enough Practical Knowledge:--Many youngsters believe that having an educational background is adequate for succeeding in the world of entrepreneurship, but the reality is fully different from what they thought while studying in college. There is a strong need for practical knowledge for tackling the competition that this universe offers.

Not Having the Right Team:--A business can only become successful when there is the right sort of people available in your team. There is no way everything can be done on your own. The biggest issue that start-ups face is not finding good employees. It turns out to be the major hit that most of them have to deal with.

Corrupt Business Problems:--A very common barrier that entrepreneurs have to feel has business situations where the corrupt environment doesn't inspire the young employees. The government has unfriendly ties with lots of countries that make things inconsistent for the start-ups. One premier example of an unhealthy and non- supportive barrier is Russia, where the new businesses have to feel lots of issues.

Reaching More People:--The next barrier that most entrepreneurs have to deal with is facing difficulties in taking their brand to different people. It doesn't matter which country you live in; a startup can lose its path if a brand doesn't reach the required community. It includes experts and an audience for creating a successful foundation.

Fear of Failure:--Entrepreneurship is all about the state of your mind. If you have clear vision in your mind then there can never be any fear but when entrepreneurs start his/her journey then they are always in the thinking of the initial finance, investors, ideas and many more things. All these things create pressure on mind and make any human being very tensed. By this kind of approach fear of failure is likely to come sooner or later.

Few Opportunities:--In the starting of every business, one cannot see all the opportunities. These opportunities come when your business starts growing. Without its growth, one will

always be in doubt that what is going to happen with his business. These fewer opportunities are the very big factor and a barrier to entrepreneurship.

No training:--If you are trained for something then you must be the one who is found in companies and you must be working for them. Entrepreneurs are never the one who is trained for some specific job. They are the one who are a complete package of knowledge of all the fields.

No Backup:--It's always the best thing to have some backup before you start diving into the massive field of entrepreneurship. But most of the entrepreneurs start their business without any backup. And this creates a barrier for them as they are always in a fear of failure.

No Technical Skills:--These days, all the business ideas are related to tech. If you are a technology guy then it is very easy for you to start a business. Examples of technical guys are Steve Jobs, Larry Page and Mark Zukerberg. But if you are not from technical background then there will be many problems that you are going to face due to less technical skills.

Parental Pressure:--If you are from India, then there is one more barrier for you that is parental pressure. We are not saying that parents are your enemies but for sure they are going to give you many suggestions about your business idea that they don't know and sometimes they will try to stop you for doing business and will force you to go for a job.

Lack of Motivation:--Believe us or not, MONEY is the biggest Motivator when it comes to business. In starting when you are building your project, you cannot expect money from it. Here comes the biggest barrier for you to be motivated even when there is no money coming out from your business

Ways to Overcome Entrepreneurial Challenges

Overcoming these challenges requires a combination of strategic planning, resourcefulness, and a strong mindset.

- **Address Financial Challenges:**
  - **Seek Alternative Funding:** Explore options beyond traditional bank loans, such as angel investors, venture capitalists, crowdfunding platforms, and government grants or microloan programs designed for small businesses.
  - **Bootstrap:** Start with minimal resources and rely on personal savings and early revenue to fund the business.
- **Enhance Skills and Knowledge:**
  - **Continuous Learning:** Take online courses, attend workshops, and seek out mentors to fill knowledge gaps in business management, finance, and marketing.
  - **Build a Strong Team:** Don't try to do everything alone. Hire or partner with people who have skills that complement your own, such as an accountant or a marketing expert.
- **Navigate Regulatory Hurdles:**

    - **Seek Professional Guidance:** Consult with lawyers or business advisors who specialize in small business formation to ensure you meet all legal and regulatory requirements.
    - **Advocate for Policy Reform:** Support organizations and initiatives that aim to simplify business registration and reduce administrative burdens.
- **Confront Market Barriers:**
    - **Conduct Thorough Market Research:** Understand your target audience, competitors, and industry trends to create a product or service that truly stands out.

- **Tackling with increased overhead cost**:--The first thing to check in this perspective is finding which portion of the organization is using the most resources. To do so, there is a need to have solid visibility in the business. It can be easily done using the digital tools and technologies that are available these days.

- **Creating a Consumer Confidence**:--It is important to have positive marketing strategies that target customer satisfaction in all stages. It can be easily achieved when your organization is a start-up. Just look at the company that offer maintenance solutions; it can only succeed if there are the right sort of tools for resolving the issue apart from understanding the customer issues and fulfilling their requirements effectively.

- **Leaking Profitability and Revenue**:--This barrier causes problems same for both small and large organizations equally. However, it can result in threatening the growth of start-ups, and that's why it should be taken seriously. It is suggested to use the technology for resolving this problem comfortably. Go for the tools that give real-time visibility by using the right sort of tools for finding out the sales funnel and operations.

- **Following Compliance**:--It is quite common that the companies don't pay much attention to compliance when they struggled to create good revenues or deal with daily issues. While we understand that there are few complications to achieving success, having the right sort of solution can help make things good.

- **Employee Retention**:--There is a great role played by branding in the success of an organization. In order to retain employees, the companies have to provide tons of benefits like higher salaries, health insurance, etc. It is harder to offer such a level of advantages to employees for a smaller company.

<u>Tips for overcoming barriers of entrepreneurship.</u>

There are certain things that new entrepreneurs can do for overcoming the barriers comfortably. It is quite challenging to deal with such problems in the beginning. We have created a few tips to overcome barriers of entrepreneurship below:

- It is suggested that entrepreneurs should target creating a network with a similar vision. Having deep connections in today's virtual world can be very handy in those situations.

- Always create a relationship with respect and thoughtfulness for all the aspects of the business. It will turn out to be real wealth as the community is the currency that matters most.
- You should never see the world from your eyes as not thinking about others can make things frustrating. Always see things with the eyes of other individuals for better results.
- The right leadership involves showing the right methods using which a team can work together. It is very crucial to have cooperation when compared to the competition. A team who work with cooperation will make things efficient for sure.
- Staying in the game is pretty hard, especially when things get rough. The winners are the ones who play the game with love and beat the challenge.
- There is a need for unconventional thinking in utilizing the power of trends. The entrepreneurs have to understand the market by exploiting the opportunities adequately.

The Entrepreneurial Process

The entrepreneurial process is a cycle of steps an entrepreneur takes to create a new venture. It begins with **idea generation**, where a person identifies a problem or opportunity in the market. Next is **feasibility analysis**, where the entrepreneur evaluates the viability of the idea, including market size, competition, and financial needs. This leads to **business planning**, the creation of a formal document outlining the business's strategy, operations, and finances. The final stages involve **resource mobilization** (securing funding, talent, and other assets) and the **launch and management** of the new business, which is an ongoing process of growth and adaptation.

Discuss various steps involved in entrepreneurial process.

Ans. Entrepreneurship Process:--The process of pursuing a new venture is embodied in the entrepreneurial process, which involves more than just problem solving in a typical management position. An entrepreneur must find, evaluate, and develop an opportunity by overcoming the forces that resist the creation of something new.

Entrepreneurial process can be defined as the process through which a new venture is created by an entrepreneur. This process involves finding, evaluating, and developing an opportunity by overcoming the strong forces that resist the creation of something new.

Steps in entrepreneurial process

The process has four distinct phases:

(1) Identification and evaluation of the opportunity,

(2) Development of the business plan,

(3) Determination of the required resources, and

(4) Management of the resulting enterprise.

Although these phases proceed progressively, no one stage is dealt with in isolation or is totally completed before work on other phases occurs. For example, to successfully identify and evaluate an opportunity (phase 1), an entrepreneur must have in mind the type of business desired (phase 4).

Phase-1: Identify and evaluate opportunity: Opportunity identification is the process by which an entrepreneur comes up with the opportunity for a new venture. Opportunity identification and evaluation is a very difficult task. Most good business opportunities do not suddenly appear, but rather result from an entrepreneur's alertness to possibilities or, in some cases, the establishment of mechanisms that identify potential opportunities.

Different Aspects of this step relates to -

- Creativity and Business Idea generation
- Recognition of entrepreneurial opportunity
- Assessment of entrepreneurial opportunity (in terms of real and perceived value, risk and return
- Evaluating entrepreneurial opportunity (in terms of personal & entrepreneurial skills and competencies, prevailing and future circumstances and competitive environment)

Opportunity Evaluation Process

Most good business opportunities result from an entrepreneur being alert to possibilities. Some sources are often fruitful, including consumers and business associates. Channel members of the distribution system-retailers, wholesalers or manufacturer's reps-are also helpful. Technically-oriented individuals often identify business opportunities when working on other projects.

Whether the opportunity is identified by using input from consumers, business associates, channel members, or technical people, each opportunity must be carefully screened and evaluated. This evaluation of the opportunity is perhaps the most critical element of the entrepreneurial process, as it allows the entrepreneur to assess whether the specific product or service has the returns needed compared to the resources required.

- This evaluation process involves looking at-
- The creation and length of the opportunity,
- Its real and perceived value,
- Its risks and returns,
- It's fit with the personal skills and goals of the entrepreneur, and
- Its uniqueness or differential advantage in its competitive environment.

It is important to understand the cause of the opportunity, as the resulting opportunity may have a different market size and time dimension. The market size and the length of the window of opportunity are the primarily bases for determining risks and rewards. The risks reflect the market, competition, technology, and amount of capital involved. The amount of capital forms the basis for the return and rewards. The return and reward of the present opportunity needs to be viewed in light of any possible subsequent opportunities as well. The opportunity must fit the personal skills and goals of the entrepreneur. The entrepreneur must be able to put forth the necessary time and effort required for the venture to succeed. One must believe in the opportunity enough to make the necessary sacrifices. The methodology for evaluating risks and rewards frequently indicates that an opportunity offers neither a financial nor a personal reward commensurate with the risks involved.

Opportunity assessment plan

Opportunity analysis, or what is frequently called an opportunity assessment plan, is one method for evaluating an opportunity. It is not a business plan. Compared to a business plan, it should be shorter; focus on the opportunity, not the entire venture; and provide the basis for making the decision of whether or not to act on the opportunity.

An opportunity assessment plan includes the following: a description of the product or service, an assessment of the opportunity, an assessment of the entrepreneur and the team, specifications of all the activities and resources needed to translate the opportunity into a viable business venture, and the source of capital to finance the initial venture as well as its growth. The assessment of the opportunity requires answering the following questions:

- What market need does it fill?
- what personal observations have you experienced or recorded with regard to that market need?
- what social condition underlies this market need

- What market research data can be marshaled to describe this market need?
- What patents might be available to fulfill this need?
- What competition exists in this market? How would you describe the behavior of this competition?
- What does the international market look like?
- What does the international competition look like?
- Where is the money to be made in this activity?

Phase-2: <u>Develop Business Plan</u>: A business plan is the written description of the future direction of the business. It helps entrepreneur in Putting Ideas together and Preparing B-Plan Draft.
A good business plan must be developed in order to exploit the defined opportunity. This is a very time-consuming phase of the entrepreneurial process. An entrepreneur usually has not prepared a business plan before and does not have the resources available to do a good job. A good business plan is essential to developing the opportunity and determining the resources required, obtaining those resources, and successfully managing the resulting venture.

B-plan Format

(a) Title Page
(b) Table of Contents
(c) Introductory Page (Name and address of business, and promoters, Nature of Business, Statement of financing needs)
(d) Executive summary
(e) Description of Industry- Industry Analysis (Future outlook and trends, Competitors' analysis, Market segmentation, Industry and market forecast)
(f) Description of Business (Product(s), Service(s), Size of business, Office equipments and personnel, Background of entrepreneurs)
(g) Functional/Operational Plans

- Production plan (Manufacturing Process, Physical Plant (Layout and Location), Machinery and Equipments, Production inputs and output specification (Raw material, tools and consumables, suppliers)
- Operational Plan (Descriptions of new business operations, Flow of orders for goods/services, Technology utilization)
- Marketing Plan ("4-P" Description (Product, Pricing, Place and Promotion elements), Product Forecasting, Controls)
- Organizational Plan (Form of ownership, Organizational structure Design, Job Design & Descriptions (Roles & responsibilities of members of organization), Manpower plan, Management-Team background)
- Financial Plan (Statement of financing needs & Capital structuring, Source of financing details, Statement of application of funds, Statement of financing working capital needs, Cash Budget, Proforma Income statement and Balance Sheet, Cash & funds flow projections, Break-even analysis)

(h) **Assessment of Risk and Uncertainty**

- Identification of Risk-aspects
- Evaluate weakness of business
- SWOT analysis
- Contingency Plan

(i) Appendix (Backup material)

- Letters
- Market research Data
- Leases or contracts
- Price lists from suppliers

3. Determination of Resource Requirement

- Determine existing resources
- Identify Resource Gaps and available Suppliers
- Develop access to and procure needed resources

4. Manage the enterprise

- Develop Management Style
- Understand key variables for success
- Identify problems and Potential problems
- Implement control systems
- Develop growth strategy

Phase 3: <u>Determine the Resources Required</u>.

Assessing the resources needed starts with an appraisal of the entrepreneur's present resources. Any resources that are critical must be distinguished from those that are just helpful. Care must be taken not to underestimate the amount and variety of resources needed. The entrepreneur should also assess the downside risks associated with insufficient or inappropriate resources.

The next step in the entrepreneurial process is acquiring the needed resources in a timely manner while giving up as little control as possible. An entrepreneur should strive to maintain as large an ownership position as possible, particularly in the start-up stage. As the business develops, more funds will probably be needed to finance the growth of the venture, requiring more ownership to be relinquished. The entrepreneur also needs to identify alternative sup-pliers of these resources along with their needs and desires. By understanding resource supplier needs, the entrepreneur can structure a deal that enables the resources to be acquired at the lowest possible cost and with the least loss of control.

Phase 4: <u>Manage the Enterprise</u>.

After resources are acquired, the entrepreneur must use them to implement the business plan. The operational problems of the growing enterprise must also be examined. This involves implementing a management style and structure, as well as determining the key variables for success. A control system must be established, so that any problem areas can be quickly identified and resolved. Some entrepreneurs have difficulty managing and growing the venture they created

Types of Entrepreneurs

- **Innovator:** Someone who invents a new product or service.
- **Visionary:** An entrepreneur who has a clear vision for the future and works to make it a reality.
- **Intrapreneur:** An employee within a large organization who acts like an entrepreneur, developing new ideas and ventures for the company.

- **Serial Entrepreneur:** A person who starts multiple businesses, often selling one to fund the next.
- **Social Entrepreneur:** Someone who starts a business with a primary mission to solve a social or environmental problem, with profit as a secondary goal.

Types of Entrepreneurship

- **Small Business Entrepreneurship:** Starting a local business like a restaurant, retail shop, or salon. The goal is to provide a living for the owner and their family, not necessarily to create a massive enterprise.
- **Scalable Startup Entrepreneurship:** Creating a business model designed for rapid growth and expansion, often attracting venture capital. Examples include tech companies and disruptive new services.
- **Social Entrepreneurship:** Creating ventures that aim to generate a positive social or environmental impact in addition to financial returns.
- **Entrepreneurs according to the type of business**
- Entrepreneurs are found in various types of business occupations of varying size, we may broadly classify them as follows:
- **Business entrepreneur:**--Business entrepreneurs are individuals who conceive an idea for a new product or service and then create a business to materialize their idea into reality. They may set up a big establishment or a small business unit. They are called small business entrepreneurs when found in small business units such as printing press, textile processing house, advertising agency, readymade garments or confectionery.
- **Trading Entrepreneur:**--The trading entrepreneur is one who undertakes trading activities and is not concerned with the manufacturing work. He identifies potential markets, stimulates demand for his product line and creates a desire and interest among buyers to go in for his product line and creates a desire and interests among buyers to go in for his product line and creates a desire and interests and buyers to go in for his product. He is engaged in both domestic and overseas trade. Britain, due to geographical limitations has developed trade through trading entrepreneurs.
- **Industrial Entrepreneurs:**--Industrial entrepreneur is essentially a manufacturer who identifies the potential needs of customers and tailors a product or service to meet the marketing needs. He is product- oriented man who starts in an industrial unit because of the possibility of some new product.
- **Corporate Entrepreneur:**--Corporate entrepreneur is a person who demonstrates his innovative skill in organizing and managing corporate undertaking. A corporate undertaking is a form of business organization which is registered under some statue or act which gives it a separate legal entity. A trust registered under Trust act or company registered under the companies act is examples of corporate undertakings. A corporate entrepreneur is thus an individual who plans, develops and manages a corporate body.
- **Agricultural Entrepreneur:**--Agricultural entrepreneur are those entrepreneurs who undertake agricultural activities as raising and marketing of crops, fertilizers and other inputs of agriculture. They are motivated to raise agricultural through mechanization, irrigation and application of technologies for dry land agriculture products.

Entrepreneurs in Technology

We may broadly classify these entrepreneurs on the basis of use of technology as follows:

Technical entrepreneur:--A technical entrepreneur is essentially compared to a crafts man. He develops improved quality of goods because of the craftsmanship. He concentrates more on production than marketing.

Non-technical entrepreneur:--These are people who are not concerned with the technical aspects of the product in which they deal. They are concerned only with developing alternative marketing and distribution strategies to promote their business.

Professional entrepreneurs:--Professional entrepreneurs are a person who is interested in establishing a business but does not have interest in managing or operating it once it is established. A professional entrepreneur is a person who is interested in establishing a business but does not have interest in managing or operating it once it is established. A professional entrepreneur sells out the running business and starts another venture with the sales proceeds.

Entrepreneurs and Motivation

Pure entrepreneur:--A pure entrepreneur is an individual who is motivated by psychological and economic rewards. He undertakes an entrepreneurial activity for his personal satisfaction in work, ego, and status.

Induced Entrepreneur:--He is the person who is induced to take up an entrepreneurial task due to the policy measures of the government that provides assistance, incentives, concessions, and necessary overhead facilities to start the venture. Most of the induced entrepreneurs enter entrepreneurship due to financial, technical and several other facilities provided to them by the state agencies to promote entrepreneurship.

Motivated entrepreneur:--New entrepreneurs are motivated by the desire for fulfillment. They come into being because of the possibility of making and marketing some new product for the use of customers. If the product is developed to saleable stage, the entrepreneur is further motivated by reward in terms of profit.

Spontaneous Entrepreneur:--These entrepreneurs start their business because of their natural talents. They are persons with initiative, boldness and confidence in their ability which motivate them to undertake entrepreneurial activity. Such entrepreneurs have a strong conviction and confidence in their inborn ability.

Growth and Entrepreneurs

Growth Entrepreneur:--Growth entrepreneurs are those who necessarily take up high growth industry which has substantial growth prospects.

Super Growth Entrepreneurs:--Super growth entrepreneurs are those who have shown enormous growth of performance in their venture. The growth performance is identified by the liquidity of funds, profitability and gearing.

Entrepreneurs and stages of Development:

Entrepreneurs may also be classified as the first generation entrepreneur, modern entrepreneur and classical entrepreneur depending upon the stage of development. They are explained below:

First-generation entrepreneur:--A first generation entrepreneur is one who starts an industrial unit by innovative skills. He is essentially an innovator, combining different technologies to produce a marketable product or service.

Modern entrepreneur:--A modern entrepreneur is one who undertakes those ventures which go well along with the changing demand in the market. They undertake those ventures which suit the current marketing needs.

Classical entrepreneur: A classical entrepreneur is one who is concerned with the customers and marketing needs through the development of the self-supporting venture. He is a stereotype entrepreneur whose aim is to maximize his economic returns at a level consistent with the survival of the firm with or without an element of growth.

Others

Innovating Entrepreneurs:--Men and women in this group are generally aggressive in experimentation who exhibit cleverness in putting attractive possibilities into practice. One need not invent but convert even old established products or services by changing their utility, their value, and their economic characteristics into something new, attractive and utilitarian. This is the secret of these people.

Imitative entrepreneurs: These people are characterized by readiness to adopt successful innovations by entrepreneurs. They imitate techniques and technology innovated by others. They are adoptive and more flexible.

Benefits of Entrepreneurship

- **Economic Growth:** Entrepreneurs create new jobs, leading to higher employment rates and a more robust economy.
- **Innovation:** They introduce new products, services, and technologies that improve lives and drive progress.
- **Wealth Creation:** Successful entrepreneurs generate wealth for themselves, their employees, and investors.
- **Social Impact:** Social entrepreneurship and other business ventures can address pressing social and environmental issues.
- **Personal Fulfillment:** For many, entrepreneurship offers the freedom to pursue a passion, have control over their work, and achieve a profound sense of accomplishment.

Role of Government in Promoting Entrepreneurship

Governments play a crucial role in fostering a supportive ecosystem for entrepreneurs.

- **Financial Support:** Providing grants, subsidies, and low-interest loans specifically for startups and small businesses.
- **Creating a Business-Friendly Environment:** Simplifying legal and regulatory processes, reducing bureaucratic red tape, and creating clear tax policies.
- **Education and Training:** Incorporating entrepreneurship education into school curricula and offering skills development programs for adults.
- **Developing Infrastructure:** Investing in physical and digital infrastructure, such as reliable internet, transportation networks, and co-working spaces.
- **Promoting Innovation:** Funding research and development (R&D) and offering incentives for companies that invest in new technologies.

Explain the role of Entrepreneurs in Ugandan economy or economic development.
Ans. ROLE OF ENTREPRENEURS IN ECONOMIC DEVELOPMENT

The entrepreneur who is a business leader looks for ideas and puts them into effect in fostering economic growth and development. Entrepreneurship is one of the most important inputs in the economic development of a country. The entrepreneur acts as a trigger head to give spark to economic activities by his entrepreneurial decisions. He plays a pivotal role not only in the development of industrial sector of a country but also in the development of farm and service sector. The major role played by an entrepreneur in the economic development of an economy is discussed in a systematic and orderly manner as follows.

(1) Promotes Capital Formation:--Entrepreneurs promote capital formation by mobilizing the idle savings of public. They employ their own as well as borrowed resources for setting up their enterprises. Such type of entrepreneurial activities leads to value addition and creation of wealth, which is very essential for the industrial and economic development of the country.
(2) Creates Large-Scale Employment Opportunities:--Entrepreneurs provide immediate large-scale employment to the unemployed which is a chronic problem of underdeveloped nations. With the setting up. Of more and more units by entrepreneurs, both on small and large-scale numerous job opportunities are created for others. As time passes, these enterprises grow, providing direct and indirect employment opportunities to many more. In this way, entrepreneurs play an effective role in reducing the problem of unemployment in the country which in turn clears the path towards economic development of the nation.
(3) Promotes Balanced Regional Development:--Entrepreneurs help to remove regional disparities through setting up of industries in less developed and backward areas. The growth of industries and business in these areas lead to a large number of public benefits like road transport, health, education, entertainment, etc. Setting up of more industries leads to more development of backward regions and thereby promotes balanced regional development.
(4) Reduces Concentration of Economic Power:--Economic power is the natural outcome of industrial and business activity. Industrial development normally leads to concentration of economic power in the hands of a few individuals which results in the growth of monopolies. In order to redress this problem a large number of entrepreneurs need to be developed, which will help reduce the concentration of economic power amongst the population.
(5) Wealth Creation and Distribution:--It stimulates equitable redistribution of wealth and income in the interest of the country to more people and geographic areas, thus giving benefit to larger sections of the society. Entrepreneurial activities also generate more activities and give a multiplier effect in the economy.
(6) Increasing Gross National Product and Per Capita Income:--Entrepreneurs are always on the lookout for opportunities. They explore and exploit opportunities,, encourage effective resource mobilization of capital and skill, bring in new products and services and develops markets for growth of the economy. In this way, they help increasing gross national product as well as per capita income of the people in a country. Increase in gross national product and per capita income of the people in a country, is a sign of economic growth.
(6) Improvement in the Standard of Living:--Increase in the standard of living of the people is a characteristic feature of economic development of the country. Entrepreneurs play a key role in increasing the standard of living of the people by adopting latest innovations in the production of wide variety of goods and services in large scale that too at a lower cost. This enables the people

to avail better quality goods at lower prices which results in the improvement of their standard of living.

(7) <u>Promotes Country's Export Trade</u>:--Entrepreneurs help in promoting a country's export-trade, which is an important ingredient of economic development. They produce goods and services in large scale for the purpose earning huge amount of foreign exchange from export in order to combat the import dues requirement. Hence import substitution and export promotion ensure economic independence and development.

(8) <u>Induces Backward and Forward Linkages</u>:--Entrepreneurs like to work in an environment of change and try to maximize profits by innovation. When an enterprise is established in accordance with the changing technology, it induces backward and forward linkages which stimulate the process of economic development in the country.

(9) <u>Facilitates Overall Development</u>:--Entrepreneurs act as catalytic agent for change which results in chain reaction. Once an enterprise is established, the process of industrialization is set in motion.